Deep Dive Setup — Backtest Takeaways

Cause → Consolidation → Effect swing setup · 604 NSE mid/small/micro caps · Feb 2015 – Jul 2026 · 11,920 entries · daily bars, Yahoo Finance data

1 The pattern alone is NOT the edge — the filters are

Cohort (5% stop)	Trades	Win rate	Avg R	Profit factor
Every raw cause→consolidation entry	11,920	34.4%	+0.06	1.09 (breakeven)
Core template (all key filters met)	518	**43.8%**	**+0.37**	**1.65**

> Core template = consolidation ≤20% deep + narrow prior day + clean consolidation + 10/20/50 DMA undercut rule + relative volume ≥1.2× on entry day + cause ≤100%.
> At a 3% stop the core template reaches **46.7% win rate, profit factor 1.87**. Positive expectancy in **11 of 12 years** (only 2019 negative).
> This confirms the training's core claim: a ~30–40% win rate system where 3 winners pay for 7 losers — *and* that "charts alone are not the edge."

2 When it works

- **Relative volume on entry day is the #1 condition.** With ≥1.2× volume: 41.6% win / PF 1.47. Without: 32.9% / PF 1.02 (no edge at all). "All big moves start with volume" survives the data.
- **Shallow consolidations, monotonically.** 0–10% deep → PF 1.21 · 10–15% → 1.09 · 15–20% → 1.05.
- **Fresh causes (25–60% up)** → PF 1.13–1.15 — the sweet spot.
- **Strong environment.** Breadth >65% of stocks above their 20DMA + index above its 20DMA → 37.8% win, PF 1.29. Core-template trades in a strong environment: **46.5% win, PF 1.85**.
- **Undercut rule respected** (10DMA if up ≤50%, 20DMA if 50–100%, 50DMA if >100%) and a **narrow day before entry** each add real, modest lift.

3 When it does NOT work

- **Deep consolidations flip the edge negative.** 20–25% deep → PF **0.81** · 25–40% → PF **0.76**. The taught 20–25% cutoff is almost exactly where the data breaks.
- **Extended stocks (>100% cause) without a reset** → PF **0.92**, win 29.9%. Confirms "wait for the undercut."
- **Weak markets.** Breadth <20% with index below 20DMA → 27.1% win, PF **0.77**. The environment filter is real — the same setup loses money in bad tape.
- **Not confirmed by the data:** base count 1–2 vs 3–4+ showed no measurable difference on daily bars; the ≥25cr liquidity and ≥3.5% ADR floors are execution/velocity filters, not sources of per-trade edge.

4 Entries, stops & shakeouts — the most important table

Stop width	Win rate	Avg R	Profit factor	% of eventual +20% winners killed by the stop first
2%	19.0%	**−0.42**	**0.48**	**76.5%**
3%	27.6%	**−0.16**	**0.78**	60.7%
5%	34.4%	+0.06	1.09	41.8%
8%	40.4%	**+0.22**	**1.38**	**23.8%**

- Among trades that eventually hit +20%: **85% first dipped 2% below entry, 68% dipped 3%, 45% dipped 5%**. Median worst dip of a winner: **−5.1%**.
- **41.5%** of trades that reached +10% fell all the way back to entry before reaching +20% — "losing your open gains" is a statistical regularity, not bad luck.
- The mentor's advice — beginners start with 5% stops, don't copy his 2% stops — is strongly supported: at 2% the stop sits inside normal winner noise and the raw system is heavily losing. Tight stops only work with precise (intraday) entry timing.

5 What this means in practice

- Trade the pattern **only with all filters**: shallow rest, tight prior day, volume confirmation, proper undercut, fresh (not extended) cause.
- **Size up in strong breadth, stand down in weak breadth** — the same setup's PF swings from 1.85 to below 1.0 with the environment.
- Expect ~45–55% losers even on the best cohort; the payoff comes from the R-ladder letting winners run to 2R/3R/5R.
- Give trades room (5%+ stop as a beginner) and expect shakeouts — nearly half of all winners dip 5% below entry before paying.

Caveats

Survivorship bias: universe is today's index members, so delisted losers are missing — absolute returns are optimistic; cohort comparisons are robust. Daily bars only (intraday entry techniques not replicable); no brokerage/slippage/circuit-limit modeling; rules codified from the transcripts, not curve-fit or optimized. Per-trade expectancy, not a portfolio equity curve.